

LEC10 - Retirement Planning

Learning Objectives

1. Recognize the importance of retirement planning
 2. Analyze your current assets and liabilities for retirement
 3. Estimate your retirement spending needs
 4. Identify your retirement housing needs
 5. Determine your planned retirement income
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The Importance of Retirement

- Successful, happy retirement takes planning and continual evaluation
 - Planning helps you anticipate future changes and gain control over your future
 - Rules for retirement planning are constantly changing
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Common Retirement Misconceptions

- My expenses will drop when I retire
 - They may actually go up (ex. Health, travel, gifts)
 - My retirement will only last 15 years
 - Statistics show people are living longer
 - No one can see exactly how long they will live
 - I can depend on the government and my company pension plan to pay for my basic living expenses
 - Not all companies have a pension plan
 - You may not qualify for various government benefits
 - My pension benefits will increase to keep pace with inflation
 - Pension may not keep up with inflation (indexed for inflation)
 - My employers health insurance plan and Medicare will cover my medical expenses
 - Does not cover full medical expenses
 - There's plenty of time for me to start saving for retirement
 - There is always excuses that will come in the way
 - The key is to be disciplined and save little by little
 - Saving a little bit won't help
 - Every little bit goes a long way
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The Importance of Starting Early

- If from age 25 to 65 you invest \$300 a month at 9% at age 65 you will have \$1,400,000 in your retirement fund
 - Wait 10 years to start and you will have about \$550,000
 - Wait 20 years to start and you will have \$201,000

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Financial Planning For Retirement is Critical

- At age 65, the average life expectancy is 19 more years for males and 22 for females
 - Government benefits and a private pension, if you have one, are most often insufficient to cover the cost of living
 - Inflation may diminish the purchasing power of your retirement savings. Even a 2% rate of inflation will cause prices to double every 36 years
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Conducting a Financial Analysis

Review Your Assets

- Housing
 - If owned, most likely your biggest single asset
 - If you have a larger equity, consider a reverse annuity mortgage
 - Loan based on the equity of your home
 - Provides elderly homeowners with tax-free income
 - Is paid back with interest when home is sold, or homeowner dies
 - Has the disadvantage of reducing the amount of equity, and therefore amount of inheritance left to family
- Life insurance cash value can be converted into cash or income
 - Ex. Annuity
- Other investments, such as stocks and bonds
 - Take dividends instead of reinvesting

Estimate Your Retirement Spending Needs

- Spending patterns and where and how you live will probably change
- Some expense may be lowered or eliminated
 - Work expenses
 - Clothing expenses
 - Housing expenses
 - Federal income taxes
 - Will likely be lower
- Other expenses may increase
 - Insurance
 - Medical expenses increase with age
 - Expenses for leisure activities
 - Gifts and contributions
- Inflation will raise the amount you need to cover your expenses over your probable 16-20 years in retirement

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Types of Pension Plans

Defined Benefit Pension Plan

- Predetermined based on a formula that takes into account salary history, age, years of service, etc.
- Employer bears more risk
- Employers mainly contribute

Defined Contribution Pension Plan:

- Based on contributions and investment performance
 - Final amount is unknown and depends on market returns
 - Employee bears the risk
 - Both employees and employer contribute a fixed percentage of salary
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RRSPs

RRSP: An investment vehicle that allows you to shelter your savings from income tax

- Not a specific investment, but a way to register a variety of investments to shelter funds
- Eligible investments include...
 1. Guaranteed funds, savings accounts, term deposits, GICs
 2. Investments, stocks, bonds, mutual funds, ETFs
 3. Life insurance and other life annuity products

Types of RRSPs

1. Regular
 2. Self-directed
 3. Spousal
- RRSP funds can also be used for a down payment on your first home under the Home Buyers Plan (HBP)
 - If you qualify as a first-time buyer, you are allowed to withdraw up to \$35,000 as an interest free loan from your RRSP to buy or build a qualifying home, without counting the withdrawal as income
 - RRSP funds can also be used to finance full-time training
 - Under the Lifelong Learning Plan (LLP), you may withdraw up to \$10,000 a year (to a maximum of \$20,000)

Contribution Limits

- 18% of earned income to a maximum amount
- Maximum amount of \$30,780 in 2023

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- Reduced by RPP contributions
- Can 'carry forward' unused room to later years

Contribution Example

- In 2022, you have earned income $\$100,000 \cdot 18\% = \$18,000$ RRSP room created
 - In 2023 you work and earn $\$100,000$ again but decide to contribute $\$10,000$ to your RRSP
 - Therefore, in 2024 you will have $\$26,000$ of RRSP contribution room
 - $\$18,000 - \$10,000 = \$8,000$ *carry forward* + $\$100,000 \times 18\% = \$26,000$ total
 - You can contribute at any point up to the RRSP contribution limit ($\$26,000$ in our example) if you have earned income in that year
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Example

How much contribution room should you have if you have never contributed to an RRSP plan and have $\$50,000$ of employment income per year over the last 5 years?

$$50000 \cdot 0.18 \cdot 5 = \$45,000$$

Example

Assume the same information as in *Question 3* except that you contributed $\$4,500$ to an RRSP in each of year 2 through 5 and in year 6 you decide to maximize your RRSP contribution as your earned income increased substantially. How much can you contribute in the sixth year based on this situation?

$$\text{Contribution Room} = 45000 - (4 \cdot 4500) = \$27,000$$

- $\$45,000$ from *Question 3*
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Tax Free Savings Accounts (TFSAs)

- Introduced of 2009
- Must be 18 or older
- Must have a valid social security number
- Contributions are not tax deductible
- Plan grows tax free
- No tax upon withdrawal

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Year	Amount per Year
2009-2012	\$5,000
2013-2014	\$5,500
2015	\$10,000
2016-2018	\$5,500
2019-2022	\$6,000
2022	\$6,500
Future amount will be indexed to inflation and rounded to the nearest \$500	